CHAPTER TWELVE: ENTREPRENEURIAL FINANCE AND ACCOUNTING

Understanding finance, it is not optional; it is essential for survival, decision-making, and growth.

MEANING AND DEFINITION OF ACCOUNTING

Accounting is often referred to as the "language of business." Just as language helps people communicate ideas, accounting enables businesses and organizations to communicate their financial information. In India, accounting has been practiced for centuries in different forms. Ancient texts such as *Kautilya's Artha shastra* mention the systematic maintenance of accounts for revenue collection, treasury management, and trade. Merchants in different parts of India developed indigenous systems like *Bahi-Khata* (traditional books of account), still seen in many small towns even today.

The Cash Book is the most common book, found almost in all household is the simplest book - tracks the cash in hand. It does not differentiate if the Cash came in as a profit from sale, or came by a withdrawal from bank account, or as an advance payment for goods to be supplied or as a loan. It just records the change in cash position, with limited information on what led to the change.

There are other books, that we kept independently, like the list of jewellery, list of land assets, loans given etc

In modern times, accounting has evolved into a formal discipline governed by rules, principles, and regulations. The

Institute of Chartered Accountants of India (ICAI), established by an Act of Parliament, plays a central role in setting accounting standards, regulating the profession, and ensuring that financial reporting in India meets international quality benchmarks.

Definitions of Accounting

- According to the American Institute of Certified Public Accountants (AICPA), accounting is "the art of recording, classifying, and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof."
- ICAI defines accounting in broader terms as "the process of identifying, measuring, and communicating economic information to permit informed judgments and decisions by users of the information."

From these definitions, we can see that accounting is not just about bookkeeping—it is about generating meaningful information that helps in decision making.

Difference Between Accounting, Bookkeeping, and Auditing

- Bookkeeping is the systematic recording of day-to-day transactions. It is the first step.
- Accounting goes beyond recording, to classification, summarization, preparation of reports, and analysis.
- Auditing is an independent examination of financial information, usually carried out by a chartered accountant, to express an opinion on its truth and fairness.

Thus, accounting is broader than bookkeeping, but different from auditing.

OBJECTIVES OF ACCOUNTING

In India, accounting serves multiple objectives depending on the size and type of business, as well as statutory requirements. Some of the major objectives include:

1. Systematic Recording of Transactions – To ensure that every business transaction is recorded in a scientific manner, avoiding errors and omissions.
2. Determining Profit or Loss – Businesses exist to make profits. Accounting provides a clear statement of income and expenditure, enabling the calculation of net profit or loss for a given period.
3. Depicting Financial Position – The Balance Sheet shows the true position of assets, liabilities, and owner's equity. This helps stakeholders understand the financial health of a business.
4. Facilitating Decision Making – Whether it is a large conglomerate like Reliance Industries or a small shopkeeper in Chennai, accounting information helps managers and owners make better decisions regarding investments, expansion, cost control, and pricing.
5. Statutory Compliance – Indian laws such as the Companies Act, 2013, the Income Tax Act, and Goods and Services Tax (GST) laws require proper maintenance of accounts. For example, every registered company must file annual returns with the Ministry of Corporate Affairs (MCA).

USERS OF ACCOUNTING INFORMATION

Accounting information is not only for owners. It is used by various internal and external stakeholders:

Internal Users

- Owners and Partners – To know whether the business is profitable.
- Management – To plan, control, and make strategic decisions.
- Employees – To understand business stability, job security, and bonus prospects.

External Users

- Investors and Shareholders – To evaluate return on investment. For example, investors check Infosys' financial statements before deciding to buy shares.
- Creditors and Lenders – Banks and NBFCs rely on accounting reports before extending loans.
- Government – Income tax, GST, and other statutory authorities use accounting data to determine compliance and collect revenue.
- Public and Analysts – Analysts, rating agencies, and even competitors study accounting information to assess industry performance.

Thus, accounting is a critical tool for transparency and trust.

BASIC ACCOUNTING CONCEPTS AND PRINCIPLES

Accounting is based on a set of concepts and principles universally recognized. In India, these principles are aligned with Ind AS (Indian Accounting Standards). Some of the most important are:

1. Business Entity Concept – Business is treated separately from its owner. For example, if the owner of a shop withdraws cash for personal use, it is recorded as "Drawings" and not as an expense of the business.
2. Going Concern Concept – Assumes that the business will continue in the foreseeable future unless stated otherwise.
3. Money Measurement Concept – Only transactions measurable in money terms are recorded. A company's employee morale, though important, is not recorded in accounts.
4. Cost Concept – Assets are recorded at their purchase cost, not at market value. Erosion in value is accounted as "Mark to Market"
5. Dual Aspect Concept – Every transaction has two sides: debit and credit. For example, purchasing machinery by paying cash reduces cash but increases machinery.
6. Accrual Concept – Income and expenses are recorded when they are earned/incurred, not when cash changes hands. This is mandatory for companies under the Companies Act.

DOUBLE ENTRY SYSTEM OF ACCOUNTING

The double entry system, first formalized by Luca Pacioli in Italy, forms the backbone of modern accounting. In India too, all businesses and statutory records follow this principle.

Rules of Debit and Credit

- Personal Account – Debit the receiver, Credit the giver.
- Real Account – Debit what comes in, Credit what goes out.

- Nominal Account – Debit all expenses/losses, Credit all incomes/gains.

Example Journal Entries in Indian Context

1. Cash Sales of Goods worth ₹50,000 plus GST @ 18%
    - Debit: Cash A/c ₹59,000
    - Credit: Sales A/c ₹50,000
    - Credit: Output GST A/c ₹9,000
2. Payment of Salary ₹20,000
    - Debit: Salary A/c ₹20,000
    - Credit: Cash A/c ₹20,000
3. Taking Bank Loan of ₹1,00,000
    - Debit: Bank A/c ₹1,00,000
    - Credit: Loan from Bank A/c ₹1,00,000

If money comes into the bank account maintained by you, it will be a credit entry in the books maintained by the bank (and in the statement that bank issues to you – as an extract from their books). It will be the other way in your book. It will be an debit entry

The Double Entry System the Backbone of Accounting

- Every transaction affects two accounts.
- One account is debited; the other is credited.
- The system ensures the accounting equation stays balanced:

Personal Accounts – "Debit the Receiver, Credit the Giver"

Definition: Accounts related to individuals, firms, institutions.

Subtypes:

- Natural (e.g., Ramesh A/c)
- Artificial (e.g., ICICI Bank A/c)

- Representative (e.g., Outstanding Rent A/c)

Rule:

- Debit the Receiver
- Credit the Giver

Make a list of all personal accounts—especially vendors, lenders, and employees.

Real Accounts – "Debit What Comes In, Credit What Goes Out"

Definition: Accounts related to assets—tangible or intangible.

Rule:

- Debit What Comes In
- Credit What Goes Out

Nominal Accounts – "Debit Expenses/Losses, Credit Incomes/Gains"

Definition:

Accounts related to expenses, losses, incomes, and gains.

Rule:

- Debit All Expenses and Losses
- Credit All Incomes and Gains

Regulatory and Practical Nuances

GST Input and Output:

- Input GST → Debit (Expense)
- Output GST → Credit (Liability)

TDS (Tax Deducted at Source):

- TDS Payable → Credit
- Expense A/c → Debit

CSR Spending:

- CSR Expense A/c → Debit
- Bank/Cash A/c → Credit

Startup Grants or Subsidies:

- Grant Received A/c → Credit
- Bank A/c → Debit

Journal Entry Framework for Founders

1. Identify the transaction
2. Classify the accounts involved
3. Apply the correct rule
4. Record the journal entry
5. Post to ledger and trial balance

Common Mistakes to Avoid

- Misclassifying accounts (e.g., treating rent as a real account)
- Forgetting to record representative accounts
- Ignoring intangible assets like goodwill or IP
- Not reconciling nominal accounts before year-end

Building Your Accounting System

- Use Indian accounting software like Tally, Zoho Books, or Vyapar
- Set up chart of accounts aligned with these rules
- Train your team on basic journal entries
- Review monthly trial balances and ledgers

THE ACCOUNTING PROCESS

The accounting cycle involves:

1. Identifying Transactions – Recognizing business events with financial implications.
2. Recording in Journal – Passing journal entries.
3. Posting to Ledger – Transferring to respective accounts.
4. Preparing Trial Balance – Checking mathematical accuracy.
5. Preparing Financial Statements – Profit & Loss A/c, Balance Sheet, and Cash Flow.

Example: Small Kirana Shop in Chennai

- Buys goods worth ₹1,00,000 on credit.
- Sells goods worth ₹70,000 in cash.
- Pays rent of ₹10,000.

At the end of the month the cash book shows:

- Sales = ₹70,000
- Expenses = ₹10,000
- Shop keeper sees an increase in cash - ₹60,000. (Note that this is not real). He needs system that captures transactions comprehensively. This simple example shows how even small businesses benefit from accounting discipline.

Accounting Standards in India

The ICAI issues Accounting Standards (AS) and Ind AS (Indian Accounting Standards) converged with IFRS.

Financial Statements in the Indian Context

The three main statements are:

1. Profit and Loss Account – Shows revenues, expenses, and net profit.

2. Balance Sheet – Shows assets, liabilities, and owner's equity.
3. Cash Flow Statement – Shows inflow and outflow of cash.

Under Schedule III of the Companies Act, 2013, Indian companies must prepare statements in a prescribed format.

Example (Simplified Balance Sheet Format)

Balance Sheet as at 31st March 2025

- Assets
    - Non-Current Assets: Land, Plant, Equipment.
    - Current Assets: Cash, Inventory, Debtors.
- Liabilities
    - Share Capital.
    - Borrowings.
    - Current Liabilities: Creditors, Provisions.

REGULATORY FRAMEWORK IN INDIA

Accounting in India is not just about numbers; it is deeply regulated.

- Companies Act, 2013 – Governs preparation and disclosure of accounts.
- Income Tax Act, 1961 – Prescribes methods of accounting for computing taxable income.
- GST Laws – Businesses must maintain detailed records of supplies, ITC (Input Tax Credit), and returns.
- RBI Guidelines – Applicable to banks and NBFCs.
- SEBI – Mandates disclosures by listed companies.

This regulatory framework ensures reliability and protects stakeholders.

BRANCHES OF ACCOUNTING

1. Financial Accounting – Preparation of final accounts for external reporting. This is generally the backbone.
2. Cost Accounting – Controlling and reducing costs, important in manufacturing. Cost accounting pulls out data from the financial accounts to define the cost of a product of service.
3. Management Accounting – Providing insights for internal decision making.
4. Tax Accounting – Handling Income Tax, GST, and compliance in the Indian tax environment. Government announces methodologies to calculate taxes payable and these definitions could be a little different from the financial accounting.

COST ACCOUNTING – UNDERSTANDING THE COST OF DOING BUSINESS

Every business earns revenue, but only those that understand their costs earn profits. Cost accounting is the system that helps a business measure, analyse, control, and reduce costs. It answers one fundamental question: How much does it really cost to produce a product or deliver a service?

Without cost accounting, pricing becomes guesswork and profitability becomes an accident.

Cost accounting is the process of identifying, recording, classifying, and analysing costs related to production or service delivery. Its purpose is not only to calculate costs but also to support planning, control, and decision-making.

Unlike financial accounting, which focuses on external reporting, cost accounting is inward-looking. It is designed for managers and owners who need actionable insights.

Cost accounting turns numbers into insight. It allows a business to see where money is made, where it is lost, and where it can be protected.

Cost accounting helps a business to:

- Determine the true cost of products and services
- Fix selling prices rationally
- Control and reduce unnecessary expenses
- Measure efficiency and performance
- Support budgeting and forecasting
- Make decisions such as outsourcing, expansion, or discontinuation

A business may show good sales but still fail due to poor cost control.

Costs are commonly classified into three basic elements.

a) Material Cost: This includes all raw materials and consumables directly used in production.

Direct materials (e.g., raw inputs)
Indirect materials (e.g., consumables, packing materials)

Material cost control focuses on usage efficiency, wastage, and procurement pricing.

b) Labour Cost

This includes wages and salaries paid for work performed.

Direct labour (directly involved in production)
Indirect labour (supervisory, support staff)

Labour cost efficiency depends on productivity, skill levels, and scheduling.

c) Overheads

Overheads are indirect costs that cannot be traced to a single unit.

Factory (or operations centre) overheads (power, maintenance)
Office and administrative overheads
Selling and distribution overheads

Overheads often grow silently and require regular monitoring and control.

4. Classification of Costs

Understanding cost behaviour is essential for planning.

a) Fixed Costs: These remain constant regardless of output.

Rent, Salaries, Insurance which are independent of the size output are good examples.

Fixed costs create stability but also increase risk during low sales periods.

b) Variable Costs

These change with production or sales volume.

Raw materials, Packaging, Distribution or sales Commissions, Logistics cost, Warranty cost are good examples.

Variable costs determine contribution margin.

c) Semi-Variable Costs

These contain both fixed and variable components.

Electricity, Maintenance etc

Separating these components improves forecasting accuracy.

5. Cost Units and Cost Centres

Cost unit: The unit for which cost is measured (e.g., per product, per service).

Cost centre: A location or activity where costs are accumulated.

Proper identification ensures accurate cost allocation and accountability.

6. Methods of Costing

Different businesses use different costing methods.

a) Job Costing: Used when costs are traced to specific jobs or orders.

b) Process Costing: Used in continuous production processes.

c) Batch Costing: Used when products are made in batches.

d) Service Costing: Used for services such as transport, hospitals, or hospitality.

Choosing the right method ensures meaningful cost information.

7. Marginal Costing and Contribution

Marginal costing focuses on variable costs.

Contribution = Sales – Variable Costs

Contribution covers fixed costs and profits. This approach is useful for short-term decisions such as pricing, special orders, and break-even analysis.

8. Break-Even Analysis: It shows the level of sales at which total costs equal total revenue. (which is zero profit)

Below break-even: loss
Above break-even: profit

Understanding break-even helps in:
Setting sales targets
Evaluating risk
Planning capacity utilisation

9. Standard Costing and Variance Analysis

Standard costing sets expected cost levels.
Variance analysis compares actual costs with standards to identify:

Efficiency gaps
Price variations
Operational issues

This helps management take corrective action in time.

10. Budgetary Control

Budgets translate plans into numbers.

Cost budgets
Flexible budgets
Performance comparison

Budgetary control ensures costs remain aligned with business objectives.

11. Cost Control vs Cost Reduction

Cost control focuses on staying within planned limits.
Cost reduction focuses on permanently lowering costs without affecting quality.
Effective cost accounting supports both.

12. Cost Accounting in Decision-Making

Cost information guides decisions such as:
Make or buy
Accept or reject special orders
Shut down or continue operations
Product mix selection

Good decisions depend on relevant costs, not just total costs.

13. Limitations of Cost Accounting

While powerful, cost accounting has limitations:

Estimates may be subjective
Data collection can be time-consuming
Over-analysis can slow decisions

Cost accounting should support, not replace, managerial judgment.

Profit is not created by chance—it is engineered through disciplined cost understanding.
Introduction to Management Accounting

MANAGEMENT ACCOUNTING

This the process of identifying, measuring, analyzing, interpreting, and communicating financial and non-financial information to managers for planning, controlling, and decision-making. Unlike financial accounting, which focuses on reporting past performance to external stakeholders, management accounting is forward-looking, internal, and decision-oriented.

The core purpose of management accounting is to help management:

Plan business activities
Control operations
Make informed strategic and operational decisions
Improve efficiency and profitability
Create long-term value

In modern organizations, management accounting acts as the financial nervous system, translating raw data into actionable insights.

2. Management Accounting vs Financial Accounting

Basis	Management Accounting	Financial Accounting
Primary Users	Internal management	External stakeholders
Focus	Future-oriented	Past performance
Regulations	No statutory format	Governed by accounting standards
Level of Detail	Highly detailed	Aggregated
Frequency	As required	Periodic (quarterly/annually)
Nature	Flexible and analytical	Structured and historical

3. Scope and Functions of Management Accounting

Planning: Management accounting supports planning by preparing:

Budgets
Forecasts
Cash flow projections
Capital expenditure plans

Decision-Making: It provides quantitative support for decisions such as:

Make or buy
Pricing
Product mix
Expansion or shutdown

Control

Control is achieved through:
Budgetary review and control
Variance analysis
Performance measurement

Performance Evaluation
Management accounting helps evaluate performances of :

Departments
Products
Projects
Managers

CHAPTER THIRTEEN: FINANCIAL PROJECTIONS AND METRICS

Financial projections are not just spreadsheets—they're strategic roadmaps. They help you:

- Validate your business model
- Attract investors and lenders
- Plan for growth and sustainability
- Make informed decisions under uncertainty

Building a Financial Model: Creating a spreadsheet that forecasts your company's financial performance in the future. It is built on a series of well-reasoned assumptions. It starts with a list of Assumptions (mention alongside your comments on how sure you are and what could change)

CORE COMPONENTS OF A FINANCIAL PROJECTION

A complete financial projection typically includes:

1. Revenue Forecast
2. Cost of Goods Sold (COGS)
3. Operating Expenses
4. Profit & Loss Statement
5. Cash Flow Statement
6. Balance Sheet
7. Key Metrics Dashboard

Revenue Forecasting – Estimating Your Top Line

Identify Revenue Streams

- Product sales
- Subscription fees
- Service income
- Licensing or royalty income
- Advertising revenue

Volume × Price Model

Use conservative, realistic assumptions. Build scenarios: base case, optimistic, pessimistic.

Cost of Goods Sold (COGS) – Direct Costs of Production

COGS includes:

- Raw materials
- Packaging
- Direct labour
- Manufacturing overhead

Operating Expenses – The Cost of Running Your Startup

Operating expenses include:

- Salaries
- Rent
- Marketing, Travel
- Utilities,
- Software subscriptions
- Legal and compliance

Net Profit and EBITDA

Net profit accounts for taxes, interest, and depreciation.

{Net Profit} = Operating Profit} - {Interest} - {Taxes}

EBITDA (Earnings Before Interest, Taxes, Depreciation, and Amortization) is a metric used,

Cash Flow Statement – Tracking Liquidity

Cash flow tracks actual money movement.

Components:

- Cash Inflows: revenue, loans, investments
- Cash Outflows: expenses, asset purchases, loan repayments

Balance Sheet Basics

A balance sheet shows your financial position.

Formula:

{Assets} = {Liabilities} + {Equity/ Shareholders money}

Key Items:

- Assets: cash, inventory, equipment
- Liabilities: loans, payables
- Equity: founder capital, retained earnings

KEY STARTUP METRICS

1. Burn Rate

   {Burn Rate} = {Monthly Operating Expenses}

2. Runway

   {Runway (months)} = {Cash in Bank}}/ {{Burn Rate}}

3. Customer Acquisition Cost (CAC)

   {CAC} = {Marketing Spend}/ {New Customers Acquired}}

4. Lifetime Value (LTV)

   {LTV} = {Average Purchase Value} * {Purchase Frequency} * {Customer Lifespan}

5. Return on Investment (ROI)

{ROI} = {Net Profit}} \ {Total Investment}}

Building the Worksheet – Step-by-Step

Tabs to Create:

1. Revenue Forecast
2. COGS
3. Operating Expenses
4. P&L Statement
5. Cash Flow
6. Balance Sheet
7. Metrics Dashboard

- Use formulas, not hardcoded values
- Link cells across tabs for dynamic updates
- Use conditional formatting for alerts
- Include graphs for visual insights

Common Mistakes to Avoid

- Overestimating revenue
- Ignoring cash flow timing
- Not updating projections monthly
- Forgetting taxes and compliance costs
- Using static models without scenario planning